

cover story THE NEW RUSSIA

all the wrong reasons. Following the collapse of the Soviet Union, under Yeltsin Russia faced its worst ever economic crisis. Begging *babushkas* in Moscow were the norm. The mafia ruled the streets of Moscow and daylight shootouts were common. Oligarchs with their breed of gangster capitalism ruled the economy while unemployment was rampant. With rebellions in Chechnya and Dagestan, there was danger that Russia would fall apart again.

Today all that is history. Russia is a nation transformed and has once again become a major power to reckon with. The US Republican candidate John McCain may want to keep Russia out of the G-8 if he became the next US President, but experts see his pronouncements as rhetoric. The US and the rest of the world just can't ignore the world's largest country which straddles one-eighth of the earth's land mass. Nor can Europe and former Soviet republics disregard the fact that Russia is now one of the world's largest exporters of oil and gas and their economies are heavily dependent on its regular supply. NATO cannot overlook the reality that Russia has the world's second largest cache of nuclear weapons and in conventional weaponry is still a major arms seller to India, China and a host of other countries. Or not acknowledge that Russia has the world's largest forest reserves apart from a quarter of its fresh water resources. Nor can the Western countries or even India afford not to notice Russia's new-found prosperity that has spawned a consumer boom. Coupled with it is the political stability ushered in by Putin that has suddenly made Russia an attractive place to do business despite corruption becoming institutionalised. Gennady Evstafiev, senior adviser at the Centre for Policy Studies in Russia, predicts: "Now that we are on a solid financial base, nations should expect a surge in Russia as a political, economic and military power in the next decade." In short, welcome to the all new assertive, aggressive and confident Russia.

Nowhere are signs of the new Russia more evident than in Moscow. In the past five years, long rows of glitzy malls and luxury apartments have sprung up all over Russia's sprawling capital, replacing the dull rows of Soviet style tenements. The Metro, the underground artery of the city, which throbs with life 24x7 is no longer populated with grim looking Soviet apparatchiks scurrying to reach their foreboding Stalinist-styled offices. Instead, with spring in the air, the young were out, flaunting their ultra-mini-skirts, tattooed body parts and Mohawk hairstyles. Outside, the cafes, despite their atrociously priced menu—Moscow is probably the costliest city in the world—are packed with young Russians smoking and chatting away incessantly.

Near the Kremlin, not far from where Medvedev was sworn in, young couples necked unabashedly on the bridges



REUTERS/SERGEI KARPOV/INPHO

across the river Moskva. One of them was busy stringing a padlock on the iron railing and then with much fanfare the pair threw the keys into the river. It was their way of vowing that they would make their new found love last. It has become such a fad that Moscow's municipal authorities were forced to put up specially-designed iron structures as the railings had run out of space for padlocks. With Russia suffering a demographic crisis because of its declining population, the government now gives generous incentives for couples to marry and have children.

The vibrancy is not confined to Moscow but can be felt in St. Petersburg, Russia's Venice, which is a night's journey by train from the capital. So rapid has been the city's growth that a taxi driver says that the buildings on the roads he plies



YURY P. TRUTNEV

Federal Minister of Natural Resources

"Putin gave political and economic stability that saw Russia among the 10 most highly developed countries."



MIKHAIL Y. SHVYDKOI

Director, Federal Agency for Culture and Film

"People want to earn as much as in capitalism but also want their needs guaranteed under socialism."